EARNINGS PREVIEW

Lululemon Athletica Inc. (NASDAQ: LULU)

Upcoming Earnings: March 17, 2026 | **Reporting Period:** Q4 Fiscal 2025 (ended Feb 1, 2026)
Last Price: $173.14 | **Market Cap:** $19.4B | **52-Wk Range:** $159.25 – $363.88
Report Date: March 4, 2026

Executive Summary

Lululemon heads into its Q4 fiscal 2025 earnings report on March 17 amid a complex backdrop: a CEO transition, an activist proxy fight led by founder Chip Wilson, tariff headwinds on sourcing costs, and a diverging geographic growth profile where strong international momentum (particularly in China) is offsetting persistent weakness in the U.S. market.

In January, management pre-announced that Q4 revenue and EPS are tracking toward the high end of prior guidance, following a solid holiday season. Nevertheless, investors will be closely watching for clarity on FY2026 guidance given the ~$210M estimated tariff impact on operating income, progress on the merchandise "newness" refresh targeting 35% new styles, and any updates on the permanent CEO search.

Financial Expectations

Consensus Estimates — Q4 Fiscal 2025

Metric	Consensus Est.	Prior Year (Q4 FY24)	YoY Change
Revenue	$3.57B – $3.59B	$3.61B	~Flat / -1%
EPS (Diluted)	$4.76 – $5.05	$6.14	-18% to -22%
Gross Margin	~58% (guided)	60.4%	-240 bps
Operating Margin	~25%	28.9%	-390 bps

Note: Management updated Q4 guidance in January, expecting revenue and EPS toward the high end of the initial $3.50B–$3.59B and $4.66–$4.76 ranges, respectively, following strong holiday performance. FactSet consensus at the time of the pre-announcement was $3.57B revenue and $4.78 EPS.

Recent Performance Context

Q3 FY2025 results beat expectations with revenue of $2.57B (+7% YoY) versus consensus of $2.48B, and EPS of $2.59 versus the $2.22 estimate—a 16.7% earnings surprise. However, the quarter underscored a sharp geographic divergence: Americas revenue declined 2% (U.S. down 3%, comps down 5%), while international revenue surged 33% with China Mainland up 46%.

Operating margin compressed 350 basis points year-over-year to 17.3% in Q3, reflecting increased markdowns to clear U.S. inventory and tariff-related cost pressures.

Recent Developments and Initiatives

- **CEO Transition (Dec 2025):** Calvin McDonald stepped down effective end of January 2026. CFO Meghan Frank and CCO André Maestrini are serving as interim co-CEOs while the board conducts a comprehensive permanent CEO search.
- **Chip Wilson Proxy Fight (Jan–Mar 2026):** Founder Chip Wilson has escalated an activist campaign, nominating three board candidates (including On Holding's former co-CEO Marc Maurer) and calling for board declassification and removal of Advent-linked directors. Wilson has criticized recent product quality issues, calling the company "lost" as a leader in technical apparel.
- **Product Quality Setbacks (Jan 2026):** Lululemon pulled its "Get Low" leggings from its website only three days after launch due to customer complaints about sheerness, following the Breezethrough leggings recall in 2024. Wilson seized on this in his proxy campaign.
- **Q4 Guidance Raise (Jan 12, 2026):** Management updated its outlook ahead of the ICR Conference, guiding revenue and EPS toward the high end of prior ranges based on strong holiday period results.
- **International Expansion:** The company opened its 100th EMEA store (first in Poland) and plans to enter six new international markets in 2026, doubling down on global growth.
- **ShowZero Product Launch (Mar 2026):** Lululemon debuted ShowZero technology aimed at high-performance use, signaling continued investment in technical innovation amid the broader product refresh effort.

Industry Trends and Sector Dynamics

- **Tariff Headwinds:** Apparel companies sourcing from Asia continue to face elevated costs from U.S. tariffs, with Lululemon estimating a ~$210M reduction in FY2026 operating income from tariffs net of mitigation. Recent Supreme Court rulings on tariff refunds may provide some potential relief.
- **Competitive Intensity:** Challengers like Alo Yoga, Vuori, and On Running continue to gain share in the premium athletic/athleisure space, particularly in the U.S. market where Lululemon has shown softness.
- **China Growth Opportunity:** China Mainland has been Lululemon's fastest-growing region with consistent 40%+ revenue growth, providing a counterbalance to U.S. challenges and underpinning the "international arbitrage" thesis.
- **Consumer Spending:** In the U.S., more cautious spending patterns among middle-to-upper income consumers have pressured frequency of purchase and basket sizes at Lululemon, though new guest acquisition continues to grow across age demographics.

Bull Case: Drivers for Upside Surprise

1. **Holiday Beat and Guidance Raise Momentum**

The January pre-announcement signaled better-than-expected holiday execution, suggesting Q4 could exceed updated guidance. Strong holiday traffic and clearance activity may translate into upside on both revenue and margins.

2. **International Momentum as a Structural Growth Engine**

International revenue grew 33% in Q3 and China Mainland delivered 46% growth. With 100+ EMEA stores and six new markets planned for 2026, international can continue to drive high-single-digit to low-double-digit consolidated revenue growth even if the U.S. remains sluggish.

3. **Product Refresh Inflection in FY2026**

Management is targeting 35% of assortment as new styles (up from 23%), with faster speed-to-market expected to show meaningful benefits by mid-2026. If product newness re-engages the U.S. high-value guest, it could unlock significant upside to same-store sales.

4. **Institutional Accumulation**

In Q4 2025, fund ownership increased to 79.6% (up from 74.6%), with 230 new positions opened and net capital inflows of $641M from top funds—suggesting institutional conviction in the turnaround thesis at current valuation levels.

Bear Case: Risks to Consensus

5. **U.S. Comparable Sales Decline Persisting**

Americas comps were down 5% in Q3 and the U.S. business has been negative for multiple quarters. BofA noted that post-Thanksgiving sales slowed, leading to more markdowns and higher promotional costs. If the U.S. weakness deepens in Q4, margin pressure could worsen.

6. **Tariff Headwinds Intensifying into FY2026**

The guided ~$210M tariff impact on FY2026 operating income is substantial, and management acknowledged that actual results could differ materially if tariff rates, sourcing savings, or mitigation effectiveness vary. Forward guidance could disappoint if tariff mitigation falls short.

7. **Leadership Vacuum and Governance Disruption**

The ongoing CEO search (the third failed succession process, per Wilson) combined with the active proxy fight creates uncertainty. Wilson alleges difficulty recruiting board candidates, and Piper Sandler has expressed caution about the CEO search timeline.

8. **Repeated Product Quality Missteps**

The Breezethrough recall in 2024 and the Get Low pullback in January 2026 raise questions about quality controls during the product refresh push. If new launches continue to stumble, the assortment rejuvenation thesis loses credibility.

Key Metrics to Watch

Metric	What to Watch
Americas Comps	Did holiday performance arrest the multi-quarter decline? Any improvement from -5% in Q3 would signal the merchandise refresh is gaining traction.
China Mainland Revenue	Continuation of 40%+ growth rates. The holiday/Lunar New Year period is seasonally important. Magnitude of deceleration or acceleration matters.
Gross Margin	Guided down ~240 bps YoY due to tariffs and markdowns. Better-than-feared margins from vendor savings or pricing actions would be a positive catalyst.
FY2026 Revenue and EPS Guidance	Street estimates ~$10.4B revenue and ~$10.20 EPS. Degree of tariff impact baked in and visibility on mitigation levers will dominate the call.
New Product Mix %	Progress toward 35% new styles target (from 23%). Speed-to-market improvements are the linchpin of the U.S. recovery strategy.
CEO Search Update	Investors want a timeline and candidate profile. Resolution of the leadership vacuum could be a sentiment catalyst.

Management Guidance Focus Areas

The earnings call on March 17 at 4:30 PM ET will be scrutinized for commentary on the following:

- **FY2026 Full-Year Guidance:** Revenue, EPS, and margin outlook incorporating tariff headwinds and mitigation actions (pricing, vendor savings, DC network efficiency)
- **U.S. Recovery Plan:** Specific metrics on the three-pillar action plan (product innovation, activation, and enterprise efficiency) and expected timeline for U.S. comp improvement
- **CEO Search Status:** Whether the board provides a timeline or candidate profile, and any commentary on Chip Wilson's proxy fight and board composition
- **Capital Allocation:** Share repurchase pacing under the recently expanded authorization and implications for FY2026 diluted share count
- **China Sustainability:** Whether management expects continued 40%+ growth or some normalization as the base gets larger, and macro risks in the region

Investment Implications

With the stock down ~50% over the past year and trading at roughly 12x trailing earnings, the market has already priced in significant pessimism.

The risk/reward setup is balanced: upside comes from a better-than-expected Q4 print, encouraging FY2026 guidance, or a catalyst from the CEO search resolution; downside risk stems from further U.S. deterioration, tariff-related margin compression exceeding expectations, or prolonged governance disruption.

Analyst consensus sits at Hold (32 Buy, 33 Hold, 4 Sell), with a median price target of $198—implying ~14% upside from current levels. The stock will likely trade on the direction of FY2026 guidance and any commentary on the leadership transition.

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